

# European Stocks Rally on Bets that US Inflation Data Will Cool



Unmute Bitcoin Extends Rally as Ethereum Upgrade Looms

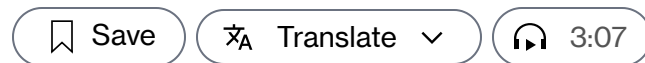


Bitcoin Extends Rally as Ethereum Upgrade Looms

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European stocks rose for a third day on Monday, lifted by expectations that cooling inflation could prompt the Federal Reserve and other central banks to slow down the pace of policy tightening.

The Stoxx Europe 600 Index closed 1.8% higher, marking its biggest three-day rally in nearly two months. The benchmark gauge rose above its 50-day moving average for the first time this month -- considered a positive technical signal that often heralds a rebound.

Retailers outperformed with a gain of 4.5%, while automakers and banks rose more than 3% each. Telecoms, food and healthcare underperformed.

The index had ended Friday with its first weekly gain in four, a day after the European Central Bank hiked rates and reassured investors that it was focused on taming scorching inflation. So far this month, the European benchmark is up about 3%, having lost more than 5% in August.

## Attempting Recovery

European stocks bounce in September after halting a summer rally



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“If the US data is soft enough, or ideally softer than expected, equities will likely continue pushing higher this week as well,” said Ipek Ozkardeskaya, senior analyst at Swissquote Bank. “If, however, the data is not as soft as expected, or worse, if we see a higher figure than last month’s read, then last week’s gains will likely be quickly given back.”

## Slumping Valuations

European stock valuations have fallen below their long-term average



Meanwhile, lower valuations following the August selloff have enticed investors to the Stoxx 600. But while the forward 12-month price-to-earnings ratio on index constituents is now below a long-term average, strategists at Goldman Sachs Group Inc. say that's not enough ☐☐ to fuel a sustained market rally, given the threat of an economic recession.

Mark Haefele, chief investment officer at UBS Global Wealth Management, sees limited potential for equity gains out to June 2023, given the uncertain inflation outlook.

“While we expect the August CPI release to provide further evidence that US inflation is easing, peak inflation has not yet been reached in the Eurozone or UK,” Haefele wrote in a note. “And we believe the Fed will require at least three months of reassuring inflation data—along with evidence of a cooling labor market—before considering softening its tone.”

Among individual movers, Orpea SA slumped ☐☐ to its lowest since 2005 and the most on record after the retirement-home operator warned earnings would miss expectations. Thule Group AB sank ☐☐ to its lowest since June 2020 after the Swedish bike, car and outdoor equipment manufacturer issued a profit warning. Tate & Lyle Plc slipped ☐☐ after Jefferies downgraded the stock on increasing cost pressures in Europe.

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